

HDFC Bank retains its top slot, but there are several surprising gainers and losers in the 14th INDIA TODAY-Business Today-KPMG survey of best banks in the country

In a year when quite a few of the mighty banks in the US stood humbled and humiliated, things were rather uneventful for banks in India. While almost every banker in the country turned jumpy at the word subprime, few lost sleep over it. The economy continued to grow and Indian banks were on a roll last year.

But, as the 14th INDIA TODAY-Business Today-KPMG survey of India's Best Banks reveals, there's one bank that continued to roll better than all others: HDFC Bank. Once again, for the fifth year in a row, the Aditya Puri-led bank beat 76 others to emerge as the No 1 player in the industry. How did it do it? It isn't the biggest private bank in the country; ICICI Bank is. It isn't the most profitable big private bank either; Citibank is. And it isn't the most efficient user of capital; that State Bank of Travancore is. Where HDFC Bank scores then is in its consistent performance.

The most surprising part of the study this year is ICICI Bank's drop from No 2 to No 9. Does it mean that HDFC Bank is stealing a march over the K.V. Kamath-led ICICI? Ironically, no. What the numbers reveal is only the aggressive strategy that the latter, already India's biggest private bank, is following to increase its lead.

Consider: the three-year compounded annual growth rate in deposits at ICICI is a whopping 50 per cent compared to HDFC Bank's 31 per cent; its three-year CAGR growth in advances, too, is a high 47 per cent compared to HDFC Bank's 38 per cent. So, what ICICI is doing is focusing on growth, taking on slightly more risk than HDFC Bank in the hope that cornering customers will not only allow it to cross-sell more products to them (and hence higher profit), but also

make it more expensive for its rivals to break away customers from its fold. ICICI's focus on growth is evident from its cost-to-income ratio. At 53.25 per cent, ICICI's cost-to-income ratio is the highest among the top 20 big banks.

Is there a risk to ICICI's aggressive growth strategy? There is. The biggest is that the quality of its assets may get compromised. Already, the bank has a relatively high net NPA-to-net advances ratio of 1.02 per cent, which is lower than, say, Standard Chartered's 1.43 per cent, much significantly higher than HDFC Bank's 0.43 per cent. The challenge for ICICI, then, as it moves furiously to build

heft in the market place will be to ensure that it does not lend to less-than-ideal customers.

Among the large foreign banks, HSBC emerges as the surprise leader. It has jumped three places from last year to No 2, making it the best foreign bank in the country. What is Nainal Lal Kidwai, the bank's CEO, doing right compared to her MNC competitors? To put it simply, she has a strategy that is not too different from Puri's at HDFC. Both of them are growing their banks nicely, but at the same time ensuring that their assets generate good returns and don't turn bad. Result: HSBC's net NPA-to-net advances ratio is



SAURABH SINGH